

Contoso Corp Code of Conduct and Business Ethics Policy

Purpose and Scope

This policy sets the standard of ethical conduct expected of every Contoso Corp employee, contractor, and officer in all business dealings, whether with customers, suppliers, competitors, or each other. It applies globally across every Contoso location and subsidiary.

This policy is administered by the Ethics Office, which reports jointly to the General Counsel and the Chief People Officer, and is reviewed annually alongside the Contoso Corp Employee Handbook and the Contoso Corp Information Security and Acceptable Use Policy to keep related standards consistent with one another.

Contractors, temporary staff, and interns are expected to follow this policy for the duration of their engagement with Contoso, and their engagement terms incorporate it by reference. Vendors and business partners are held to a separate but comparable supplier code of conduct administered by Procurement.

Managers are expected to model the standards in this policy visibly, since employees look to their direct manager's behavior as the practical definition of what is acceptable, regardless of what is written here. A manager who directs or pressures a team member to cut an ethical corner is treated as a more serious violation than an individual acting alone.

This policy applies regardless of an employee's location, seniority, or function, including members of the executive leadership team and the board of directors, though board-level conduct matters are additionally governed by the board's own charter and are reviewed by the Audit Committee rather than the Ethics Office alone.

Where a Contoso subsidiary or newly acquired business operates under a local code of conduct at the time of acquisition, that local code remains in effect for a transition period of up to 12 months while the acquired business is integrated onto this policy; the Ethics Office coordinates that transition with the acquired business's leadership to avoid a gap in coverage.

This policy is written to be read together with, not as a substitute for, other Contoso policies referenced throughout, including the Contoso Corp Equal Employment Opportunity and Anti-Harassment Policy, the Contoso Corp Business Travel and Expense Reimbursement Policy, and the Contoso Corp Data Privacy and Confidentiality Policy; where a specific topic is governed in more detail by one of those policies, this policy states the general ethical principle and defers to the more detailed policy for procedural specifics.

Employees who join Contoso through an acquisition, or who transfer in from a joint venture partner, receive a condensed version of this policy as part of onboarding and are required to complete the

standard ethics training module within their first 60 days, consistent with the training timeline described for all new hires in the Contoso Corp Employee Handbook.

Core Ethical Principles

The three areas below are the most common sources of ethics questions raised with the Ethics Office, but they are illustrations of the policy's underlying principle, not an exhaustive list; if a situation doesn't fit neatly into one of these categories but still feels like it could create an appearance of impropriety, it is still covered.

Contoso's ethical principles are not intended to require employees to memorize a rulebook for every conceivable scenario; rather, employees are expected to internalize the underlying standard of honesty, fairness, and respect for the law, and to ask the Ethics Office when a novel situation doesn't clearly map to a documented example.

Integrity in Business Dealings

Employees must never misrepresent Contoso's products, financial results, or capabilities to customers, investors, or regulators. Any employee who discovers a misstatement in a customer-facing or financial document must report it immediately through the channels described below.

Employees who prepare or approve customer proposals, financial forecasts, or regulatory filings are expected to flag any figure they are not confident is accurate rather than rounding favorably or omitting an inconvenient detail, even under deadline pressure. Finance and Legal would rather see a flagged uncertainty than a confident misstatement.

Competitive intelligence about other companies must be gathered only through public sources, industry events, and lawful market research; employees must never seek or accept a competitor's confidential information from a new hire who previously worked there, and any such information received unsolicited should be reported to the Ethics Office rather than reviewed.

Employees representing Contoso in a negotiation, whether with a customer, supplier, or partner, must have clear authority for any commitment they make; verbally promising a term that Legal or Finance has not approved, even informally, can create real legal exposure for the company.

Contoso's finance team maintains a formal escalation path for any employee who identifies a potential accounting or reporting irregularity, separate from the general Ethics Office channel, given the specialized nature of financial control issues; either channel is an acceptable place to start if an employee is unsure which applies.

Employees negotiating with a supplier or partner are expected to disclose material terms accurately to Contoso's own approval chain, including any side arrangement or informal understanding reached during a negotiation, so that the documented contract reflects the complete deal rather than an incomplete version.

Marketing and sales materials describing product capabilities are reviewed by Product and Legal before external use specifically to confirm claims are accurate and substantiated; an employee who becomes aware that a customer-facing claim has become inaccurate, for example after a feature is deprecated, should flag it for removal or correction promptly.

Employees are expected to maintain accurate records supporting their expense reports, sales pipeline entries, and other business records described elsewhere in Contoso policy, since inaccurate records, even on matters that seem procedural rather than financial, undermine the same integrity principle described in this section.

Sales employees are expected to represent deal terms accurately in Contoso's customer relationship management system, including discount approvals and any non-standard contractual commitment, rather than recording a simplified or partial version of what was actually agreed; a pattern of incomplete deal records is treated as a business-integrity concern even when no individual entry is fraudulent on its own.

Employees involved in responding to customer audits, regulatory inspections, or due diligence requests during a corporate transaction must provide complete and accurate information and must not coach a colleague on how to present information misleadingly to an auditor or regulator; any instruction along those lines, however phrased, should be escalated to Legal immediately.

Conflicts of Interest

Employees must disclose to their manager and to HR any outside financial interest, board seat, or family relationship that could reasonably influence, or appear to influence, a business decision they make on Contoso's behalf. Disclosure does not automatically bar the activity; it allows Contoso to assess and, if needed, put safeguards in place.

Common examples that require disclosure include a spouse or family member working at a supplier or competitor, an employee holding a board seat at an organization that does business with Contoso, and a manager supervising a family member or someone they are personally involved with.

Disclosures are submitted through the Ethics Office's conflict-of-interest form and reviewed within 10 business days. Most disclosed conflicts are resolved with a simple safeguard, such as removing the employee from a specific approval chain, rather than requiring the employee to give up the outside interest entirely.

An employee who is uncertain whether a situation needs to be disclosed should disclose it anyway; the Ethics Office would rather review and clear a borderline case than have an employee guess wrong. Failing to disclose a conflict that is later discovered is treated more seriously than the underlying conflict itself.

A conflict of interest disclosure remains on file with the Ethics Office and is revisited if circumstances change, for example if a disclosed outside board seat later becomes more time-intensive or the outside organization begins competing more directly with Contoso.

Employees involved in Contoso's own hiring process must disclose a familial or close personal relationship with a candidate before participating in that candidate's interview or hiring decision, and are recused from the decision itself once the relationship is disclosed.

An employee starting a side business or accepting outside consulting work should confirm with the Ethics Office that the activity does not compete with Contoso and does not use Contoso resources, time, or confidential information, even if the activity itself seems unrelated to the employee's day-to-day role.

Board memberships or advisory roles at a nonprofit organization generally do not require the same level of scrutiny as a for-profit conflict, but should still be disclosed if the nonprofit does business with Contoso or could create a scheduling conflict with the employee's Contoso responsibilities.

All employees are required to complete an annual conflict-of-interest attestation, typically distributed in the first quarter of the calendar year, confirming that any previously disclosed conflict remains accurate and identifying any new conflict that has arisen since the last attestation; failing to complete the annual attestation by the stated deadline is escalated to the employee's manager as a compliance gap.

Two employees who are married, in a domestic partnership, or otherwise closely personally involved may both work at Contoso, including on the same team, provided neither has direct reporting authority, compensation input, or performance-review authority over the other; where such a reporting relationship would otherwise exist, HR arranges an alternate reporting line for one of the individuals.

An employee who personally invests in a publicly traded supplier, customer, or competitor of Contoso does not need to disclose a small, passive holding, generally defined as less than 1 percent of the company's outstanding shares acquired through an ordinary brokerage account, but must disclose any holding above that threshold or any investment in a private company doing business with Contoso.

Gifts and Entertainment

Employees may accept or offer business gifts and entertainment of modest value (generally under \$100) when doing so is customary and does not create an appearance of impropriety. Cash gifts, and any gift offered with the expectation of a specific business decision in return, are never permitted.

The \$100 guideline applies per occasion, not per year, and gifts from the same source should not be structured to stay just under the limit on a recurring basis. Employees who are offered something above the guideline should politely decline or, where declining would be awkward, accept on behalf of the team and log it with the Ethics Office for appropriate handling, such as a team raffle.

Employees involved in vendor selection or contract renewal decisions are held to a stricter standard during that process: no gifts or entertainment of any value should be accepted from a vendor actively being evaluated, to avoid any appearance that the evaluation was influenced.

Gifts and entertainment extended to government officials or their family members are subject to additional restrictions under anti-corruption law and must be pre-approved by Legal regardless of

value; employees working with government customers should read the government-contracting addendum maintained by Legal before any such interaction.

Employees are expected to use good judgment about the cumulative effect of gifts and entertainment from the same business partner over the course of a year, even if no single instance exceeds the guideline, and should discuss a borderline pattern with the Ethics Office rather than assuming each instance is fine in isolation.

Entertainment that involves an overnight stay or travel paid for by a supplier or customer, such as attending an out-of-town event at their expense, requires pre-approval from a manager and the Ethics Office regardless of the event's face-value cost, given the heightened appearance-of-impropriety concern involved.

Gifts exchanged among Contoso employees, such as a holiday gift exchange within a team or a farewell gift for a departing colleague, are outside the scope of this section and are instead addressed by ordinary workplace norms described in the Contoso Corp Employee Handbook; the \$100 guideline in this section applies specifically to gifts and entertainment involving an external party.

Any gift, meal, or entertainment logged with the Ethics Office under this section is recorded in a shared gifts-and-entertainment register maintained by the Ethics Office, which is periodically reviewed to identify any pattern across employees involving the same external vendor or customer that might not be apparent from a single employee's disclosures alone.

Antitrust and Fair Competition

Contoso competes vigorously but lawfully, and employees must never enter into an agreement or informal understanding with a competitor to fix prices, allocate customers or territories, or restrict output; even an informal conversation at an industry event that touches on future pricing plans can create serious antitrust risk and should be shut down immediately.

Employees who attend industry association meetings, trade shows, or standard-setting group sessions where competitors are present should avoid any discussion of pricing, bidding strategy, or individual customer terms, and should ask that the topic be redirected or leave the conversation if another attendee raises it; Legal maintains a short antitrust guidance card that employees can request before attending such events.

Sales employees must not agree with a competitor, even informally, on which customers or regions each company will pursue, and must not exchange competitively sensitive information such as future pricing or margin data directly with a counterpart at a competing company under any circumstance, including through a mutual customer acting as an intermediary.

Employees who are unsure whether a specific business practice, such as an exclusive distribution arrangement or a bundled pricing structure, raises antitrust concerns should consult Legal before implementing it, since antitrust rules vary by jurisdiction and a practice that is lawful in one country may not be lawful in another where Contoso also operates.

Any document, email, or chat message that could be read as evidence of coordination with a competitor, even if written informally or as a joke, is treated with the same seriousness as an actual agreement, since regulators and courts evaluate intent based on the plain language of business records; employees should assume that anything written down could later be read by a regulator.

Anti-Bribery and Anti-Corruption

Contoso prohibits offering, promising, giving, or authorizing anything of value to any government official, customer, or business partner in order to improperly influence a decision or obtain a business advantage, consistent with the U.S. Foreign Corrupt Practices Act and comparable anti-corruption laws in every country where Contoso operates, including Ireland and other jurisdictions with Contoso offices.

This prohibition applies regardless of whether the improper payment is made directly by a Contoso employee or indirectly through a third party, such as a sales agent, distributor, or consultant acting on Contoso's behalf; employees who engage third-party intermediaries in a sales process are responsible for confirming the intermediary has passed Contoso's due-diligence screening before any payment is made to them.

Facilitation payments, meaning small payments made to a low-level government official to expedite a routine action they are already obligated to perform, such as processing a customs form, are prohibited under this policy even in countries where such payments are common practice and technically permitted under local law; employees facing a demand for such a payment should decline and report the incident to Legal and the Ethics Office promptly.

Employees working with government customers, government-owned entities, or regulators must complete a specialized anti-corruption training module in addition to the standard annual ethics training, given the heightened legal risk associated with interactions involving government officials.

Charitable donations and sponsorships made in connection with a customer relationship, particularly one involving a government or state-owned entity, must be reviewed and approved by Legal before the commitment is made, since a donation timed closely to a pending business decision can create the appearance of an improper inducement even when the underlying cause is legitimate.

Any request from a customer, partner, or government official for a payment routed through an unusual channel, such as a personal bank account, a shell entity, or a jurisdiction unrelated to the underlying transaction, is a red flag that must be escalated to Legal before Contoso proceeds, regardless of how routine the rest of the transaction appears.

Protection of Company Assets and Intellectual Property

Employees are expected to safeguard Contoso's physical, financial, and intellectual property assets, including office equipment, proprietary software, customer data, and confidential business plans, and to use them only for legitimate business purposes consistent with the Contoso Corp Information Security and Acceptable Use Policy.

Contoso's trade secrets, including product roadmaps, pricing models, source code, and customer lists, are among its most valuable assets, and employees who leave Contoso, whether voluntarily or otherwise, must return all copies of such material and may not retain, forward to a personal account, or use it on behalf of a future employer.

Employees who create inventions, software, designs, or other work product within the scope of their employment do so as work made for hire, and the resulting intellectual property belongs to Contoso; an employee who believes a specific invention falls outside the scope of their employment should raise the question with Legal before assuming personal ownership.

Incidental personal use of Contoso equipment, such as a work laptop, is permitted within the limits described in the Contoso Corp Information Security and Acceptable Use Policy, but employees must not use Contoso assets to operate an outside business, and must not install unauthorized software that could expose Contoso systems to security risk.

Employees who suspect that Contoso confidential information or intellectual property has been misappropriated, whether by a departing employee, a vendor, or an external party, should report the concern to the Ethics Office and to the Information Security team promptly, since a delayed report can materially affect Contoso's ability to pursue a legal remedy.

Insider Trading and Confidential Information

Employees who come into possession of material nonpublic information about Contoso, or about another company Contoso is negotiating with, such as an unannounced acquisition target, must not trade in that company's securities, and must not share the information with anyone, including family members, until it becomes public. Material nonpublic information generally means information a reasonable investor would consider important to an investment decision, such as unreleased financial results, a pending acquisition, or a major customer win or loss.

This restriction applies to Contoso's own securities as well as those of any other publicly traded company an employee learns about through their Contoso role, for example a customer, supplier, or acquisition target; passing a stock tip to a friend or relative, sometimes called tipping, is treated as seriously as trading on the information directly, even if the employee who tipped never traded personally.

Employees designated as having regular access to material financial information, including Finance, Legal, and members of the executive leadership team, are subject to scheduled trading windows and must pre-clear any trade in Contoso stock with Legal; other employees are not subject to scheduled windows but remain fully bound by the underlying prohibition on trading while in possession of material nonpublic information at any time.

Employees involved in a confidential internal project, such as an unannounced product launch, a restructuring, or a potential acquisition, are typically asked to sign a project-specific confidentiality acknowledgment in addition to their standing obligations under this policy and the Contoso Corp Data Privacy and Confidentiality Policy, and are added to a restricted trading list maintained by Legal for the duration of the project.

An employee who is uncertain whether information they possess is material or has already been made public should treat it as material nonpublic information and refrain from trading or disclosure until confirming its status with Legal, since the consequences of guessing incorrectly, both for the employee personally and for Contoso, can include significant civil and criminal liability.

Employees must not discuss unannounced financial results, pending transactions, or other material nonpublic information in public or semi-public settings where the conversation could be overheard, including on public transportation, in a shared elevator, or on a video call with an unmuted background in a public location, consistent with the broader confidentiality expectations described in the Contoso Corp Data Privacy and Confidentiality Policy.

Reporting Violations

Contoso encourages employees to raise concerns as early as possible, even if they are unsure whether what they observed actually violates policy; the Ethics Office would rather review something that turns out to be a misunderstanding than have a real issue go unreported because someone wasn't certain.

Reporting a concern is treated as a routine, expected part of working at Contoso rather than an exceptional or disloyal act, and employees who raise concerns in good faith, even ones that turn out to be unfounded after review, are never viewed unfavorably for having raised them.

Internal Reporting Channels

Concerns can be raised with your manager, with HR, or with the Ethics Office at ethics@contoso-corp.example. Reports may be made by name or, where local law permits, anonymously.

The confidential Ethics Office channel is operated by a third-party provider so that reports do not pass through Contoso's own email or ticketing systems, and anonymous reports are accepted everywhere local law allows anonymous reporting.

A report should include as much specific detail as the reporting employee is comfortable providing, such as dates, names, and any supporting documents, since specific reports are easier to investigate thoroughly; general or vague concerns are still accepted but may take longer to resolve.

Employees are never required to raise a concern with the person they believe is involved before reporting it, and are not expected to conduct their own investigation before reporting; gathering evidence is the Ethics Office's responsibility once a report is received.

Employees based outside the United States can use the same Ethics Office channel and email address regardless of location, and reports are handled by the same central Ethics Office team rather than being routed to a local office, to keep the reporting standard consistent globally.

A report can be updated with additional information after it is initially submitted, for example if the reporting employee remembers an additional detail or witnesses a related incident later; the Ethics Office tracks these as part of the same case rather than requiring a brand-new report each time.

The Ethics Office provides a case reference number to every reporting employee who chooses to identify themselves, allowing them to check on the general status of their report without needing to re-explain the full situation each time they follow up.

Employees who are more comfortable reporting a concern to their own manager rather than directly to the Ethics Office may do so; the manager is then responsible for escalating the report to the Ethics Office promptly rather than attempting to resolve a genuine ethics concern informally on their own.

Reports involving allegations of harassment or discrimination are routed jointly to the Ethics Office and to the HR investigations team, and are handled under the procedures described in the Contoso Corp Equal Employment Opportunity and Anti-Harassment Policy, which governs the specific investigation timeline and available remedies for that category of concern.

The Ethics Office publishes an annual, de-identified summary of the number and general category of reports received, such as conflicts of interest, expense irregularities, or workplace conduct, to the executive leadership team and the Audit Committee, without disclosing any individual reporter's identity or case details, so that patterns can be monitored at an organizational level.

An employee who reports a concern about a member of the executive leadership team or about the Ethics Office itself may instead contact the Audit Committee directly through a separate channel maintained by the board, ensuring that reports involving senior leadership are not reviewed exclusively by people who report to the individual named in the concern.

Non-Retaliation Commitment

Contoso prohibits retaliation against any employee who reports a good-faith concern or participates in an investigation. Reports of retaliation are treated as seriously as the underlying conduct being reported.

Retaliation can take subtle forms, including exclusion from meetings, a sudden change in assignments, or an unexplained dip in a performance rating shortly after a report is made; the Ethics Office looks at the surrounding timeline and context, not just overt actions, when evaluating a retaliation complaint.

A manager found to have retaliated against a report, even indirectly, faces discipline independent of whatever the underlying report concerned, up to and including termination, since maintaining employees' trust in the reporting process is treated as a priority in its own right.

An employee who believes they are experiencing retaliation should report it through the same channels described above, and is not required to have been the original reporter; a witness or colleague who observes apparent retaliation against someone else may also report it.

The Ethics Office checks in periodically with an employee who has made a report, generally at 30, 60, and 90 days after the report is closed, specifically to ask whether the employee has experienced any change in treatment that could indicate retaliation, rather than waiting for the employee to raise a concern unprompted.

The non-retaliation commitment in this section does not protect an employee who is separately disciplined for their own underlying misconduct that happens to come to light during an investigation; raising an unrelated concern does not create immunity for an employee's own violations discovered along the way, though the two matters are evaluated independently.

Consequences of Violations

Confirmed violations of this policy may result in disciplinary action up to and including termination of employment, and in some cases referral to law enforcement or regulators. The severity of the response depends on the nature of the violation and whether it was disclosed voluntarily.

The Ethics Office and HR jointly determine the appropriate response to a confirmed violation, considering factors such as whether the conduct was intentional, whether the employee proactively disclosed it, and whether it is a first occurrence or part of a pattern. The same underlying conduct can lead to different outcomes depending on these factors.

In cases involving potential legal violations, such as fraud or bribery, Legal determines whether external disclosure to regulators or law enforcement is required, independent of whatever internal disciplinary action is taken against the individuals involved.

Disciplinary outcomes for a confirmed violation can range from a documented coaching conversation, for a minor first-time issue, up to immediate termination for a severe violation such as fraud or a serious safety violation; HR maintains internal guidelines to help keep similar violations treated consistently across different teams.

An employee who proactively discloses their own violation before it is discovered through another channel is generally treated more leniently than an employee whose violation is only uncovered through an investigation, reflecting Contoso's interest in encouraging early, voluntary disclosure.

A confirmed violation by a manager that involved directing or pressuring a subordinate to participate is treated as an aggravating factor in determining the manager's own consequence, consistent with the heightened standard managers are held to described earlier in this policy.

Contoso may, in appropriate cases, seek recovery of any financial loss caused by a confirmed violation, such as a fraudulent expense claim, in addition to any disciplinary action taken against the employee responsible.

An investigation into a reported concern is led by the Ethics Office, HR, or Legal depending on the subject matter, and the investigating team documents its findings in a written report that supports the eventual disciplinary decision; the reporting employee, where identified, is generally informed that the matter has been resolved but is not given the full investigative report or disciplinary details out of respect for the privacy of the individuals involved.

Contoso reserves the right to take interim measures during an active investigation, such as temporarily reassigning an employee, restricting system access, or placing an employee on administrative leave with pay, where doing so is necessary to protect the integrity of the investigation or the safety of other employees; an interim measure is not itself a finding of wrongdoing.

Where a confirmed violation involves a contractor, vendor, or other third party rather than a Contoso employee, the consequence is generally addressed through the applicable commercial contract, up to and including termination of the business relationship, rather than through Contoso's internal employee disciplinary process, though the Ethics Office coordinates with Procurement and Legal on the response either way.

Records of confirmed violations and their resolution are retained by HR and the Ethics Office for a period consistent with Contoso's broader records-retention schedule, and may be referenced in a future employment decision involving the same employee, such as a promotion review, if the violation is relevant to the decision at hand.